Amrize AMRZ

August 06, 2026 - 3:38pm EST
by eigenvalue

			2026	2027
Price:	51.00	EPS	2.74	3.11
Shares Out. (in M):	553	P/E	18.6	16.4
Market Cap (in $M):	28,200	P/FCF	18	16
Net Debt (in $M):	5,600	EBIT	2,300	2,600
TEV (in $M):	33,800	TEV/EBIT	14.7	13

Description

Summary:

I recommend purchase of Amrize (AMRZ). It is an undervalued producer of aggregates, cement and roofing materials in US and Canada. It was written up by MiamiJoe78 a year ago. The stock price is unchanged, but other things have materially changed:

a) Insiders led by the CEO bought nearly USD 70MM worth of shares;

b) company announced a one-billion-dollar share buy-back that is around 3.3% of market capitalization; c) Amrize made what seems a great acquisition of PB Materials;

d) The demand for AMRZ shares is about to increase materially. Why? 1) The purchase of Arcosa by CRH will result in investors who previously had aggregates exposure via Arcosa receiving $7.5bn in cash in 2027. The entire market cap of the sector = $170bn. If we assume that the investors want to maintain exposure to aggregates, then the cash take-out will cause investors to be buyers of MLM, VMC, EXP, CRH, Titan America and Amrize. 2) I expect the company to be added to S&P 500 index in the next year or two, and that could result in a ten to twenty percent increase in the price of AMRZ.

Description of the business

Aggregates – 462 aggregates operations, 46 years worth of aggregates reserves. Reserves are NOT as good as MLM's and VMC – both the selling prices are much lower and the life is shorter.

Cement – 18 cement plants, 141 cement terminals, 269 ready-mix concrete plants. Largest cement company in North America. 71 years worth of cement reserves. Company is in the midst of a brownfield expansion at four plants that should add 1.1MM tons of annual production.

Building envelope – commercial and residential roofing, other products.

Industry characteristics

Aggregates – fantastic business characterized by high barriers to entry, limited competition due to transportation costs, demand is not terribly elastic price-wise, and potential. Roughly 18% of company's EBITDA comes from this business.

Cement – Inland, far from rivers and oceans, competition is oligopolistic, particularly as the industry has consolidated. Close to the coasts or rivers, more competition particularly from abroad. This segment and read-mix concrete account for roughly 49% of the company's EBITDA.

Building envelope business – New entrants can and do enter the business. Roughly 1/3 of the company's EBITDA comes from this segment.

Operational performance & future profitability

The company does not separate performance of cement business from aggregates or asphalt. Combined businesses generated $8.514 billion in revenue and $2.485bn in segment adjusted EBITDA in 2025, and I estimate that aggregates generated ~ $1.68bn in revenues and roughly $500MM in EBITDA in 2025 and closer to $600MM in 2027 and cement $3.823bn in revenues in 2025.

The building envelope generated $732MM in EBITDA down from $770MM in 2024. So this business accounts for roughly 1/3 of the company's EBITDA.

Arcosa in its proxy statement forecast 10% annual EBITDA growth over the next four years. Arcosa has both aggregates and engineered structures business, but aggregates were 2/3 of EBITDA.

Valuation

Absolute

Company is trading at 16.4x 2027 EPS, 14.25x 2028 EPS. Given that the aggregates segment is worth around $8bn, the rest of the business is trading at 9.5x 2027 forecast EBITDA and 8.5x 2028 forecast EBITDA or 6% unlevered free cash flow yield on 2027 and 7% unlevered free cash flow yield on 2028 forecasts.

I think that this is low for a business that can probably its profits and free cash flow at a high single digit rate driven by aggregates.

Comparable company analysis

VMC trades at 16.8x 2026 and 15.1x 2027 forecast EBITDA, MLM trades at 16.05x 2026 and 14.46x 2027 forecast EBITDA. AMRZ's reserve life is shorter – 46 years vs more than 80 for both MLM & VMC, also cement is not as good of a business as aggregates, so AMRZ deserves a discount.

CRH which has aggregates, cement, other segments in the US and 25% of EBITDA from outside the US is trading at 10x 2026 and 9.3x 2027 forecast EBITDA. It is probably a better comparison.

Arcosa buy-out price: 15.1x 2026 EBITDA forecast and 13.3x 2027 forecast EBITDA. It is important to note that CRH is forecasting $175MM of synergies, which would bring the multiples to 12x and 10.3x respectively. **Important to note, ACA only had 35 years of**

reserve life for its aggregates reserves. Also, only 2/3 of ACA's EBITDA came from aggregates.

AMRZ at 10.7x 2026 and 9.82x 2027 forecast EBITDA. So in-line with CRH and below Arcosa post synergies.

Management

Quality

The CEO has a good reputation and did a good job running Holcim.

Incentives

CEO owns around $100MM worth of shares, around $60MM of which he bought in the past 12 months at roughly the current price.

Insider actions

Since the company was spun-off in June of 2025 from Holcim, over a dozen executives bought shares, with the CEO buying more than fifty million dollars of stock at roughly the current price.

Capital structure

Net Debt = $5.6bn on 03/31/2026

s/o = 553.5MM or market cap at $51 = $28.2bn on 08/06/2026.

Capital allocation

Company expanded brownfield cement capacity, bought PB Materials at what seems to be a very good price albeit from limited disclosure, and launched a USD 1 billion-dollar share buy-back.

(PB materials – more than $180MM of annual revenues, more than 50 years of aggregates reserves, 26 operational sites. Paid $450MM. The question is how much in revenues comes from aggregates and how much from ready-mix or asphalt.)

Risks

a. General economic slow-down
b. Overpaying for acquisitions

Catalyst

a. Improved operational performance
b. Increased share buy-back
c. Possible index inclusion
d. Investors re-allocating cash from Arcosa elsewhere within the sector

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

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Messages

Subject Amrize vs TTAM
Entry 08/06/2026 05:42 PM
Member starfox02

Have you looked at TTAM, which zzz007 wrote up? Smaller / less liquid but I think it's cheaper on EBITDA. I haven't looked at Amrize but it's a similar thesis so if you did look at both, curious how you would compare them.

Subject Re: Amrize vs TTAM
Entry 08/06/2026 06:03 PM
Member eigenvalue

I follow it. I prefer AMRZ because: a) 18% of EBITDA comes from aggregates, which is a better business than cement. Adjusting for that, I do not believe that Titan America is cheaper; b) TTAM is controlled by a parent company, and all else equal, I prefer non-controlled companies. FRPH is a good example of what can happen...

Subject Why AMRZ over CRH?
Entry 08/07/2026 01:32 PM
Member Jumbos02

Given similar valuations, why Amrize over CRH? My understanding is that Amrize has historically underinvested in their cement plants and a lot of their volumes come from subscale plants in the lakes regions that would be difficult to drive scale benefits anyways. CRH probably the best operator out of the group and are excellent acquirors with a vertically integrated model that (1) allows it to max out profits per ton of rock and cement and (2) means there are more potential acquisition targets b/c VMC and MLM focus on purer plays.

Subject Re: Why AMRZ over CRH?
Entry 08/07/2026 03:17 PM
Member eigenvalue

Thank you for a very good question. First of all, I think that CRH, AMRZ, MLM, VMC & Heidelberg Materials will all do very well from here over the next decade both operationally and stock market wise. I would have no problem owning CRH here. Why AMRZ over CRH? Four reasons: a) I don't like 25% of profits from Europe since I don't know that market well and b) I think that it will be much easier to create value for AMRZ from acquisitions than for CRH given their respective sizes c) Looks like AMRZ will buy-back 4% of s/o in 2026, and given the $1.8bn in free cash flow in 2027 and low leverage, we will probably see a similar sized buy-back in 2027 supporting the shares d) Index inclusion pop: CRH is in the S&P 500, AMRZ is not and if and when it goes in, probably a ten to twenty percent pop will result.

I agree with you that CRH is very well managed and is a very good operator, and the acquisition of Arcosa, which I own, is a good one.

Subject Re: Re: Why AMRZ over CRH?
Entry 08/10/2026 05:12 PM
Member lordbeaverbrook

When can the company be admitted into the S&P TMI (before being accepted to the S&P 500)? The rules for admission into the TMI (post CRH's admission) have changed, so perhaps Amrize has to change their domicile (do they have plans to do so, and are there any financial impacts?)...

Subject Re: Re: Re: Why AMRZ over CRH?
Entry 08/10/2026 06:28 PM
Member eigenvalue

It can be, if the S&P considers it a US company. Garmin is an example.

Subject Re: Re: Re: Re: Why AMRZ over CRH?
Entry 08/11/2026 07:22 AM
Member lordbeaverbrook

Garmin has a non-US domicile for "convenience", which is allowed for the TMI. Amrize's non-US domicile is historical. The rules have changed since CRH was admitted into the TMI, so I'm not sure Amrize will be allowed into TMI (and then S&P 500)... perhaps they will incorporate as a US company if S&P 500 inclusion is important to them...

Subject Re: Re: Re: Re: Re: Why AMRZ over CRH?
Entry 08/11/2026 08:05 AM
Member eigenvalue

It fits the inclusion criteria so it can be included. The index is allowed to have non us domiciled companies if it meets certain criteria

Subject TCI's invested in MLM & VMC in Q2
Entry 08/14/2026 05:53 PM
Member eigenvalue

Sir Chris Hohn's TCI filed its 13-F today. It showed new positions of roughly 2% ownership of MLM and 2% ownership of VMC for a total investment of around USD 1.5bn. I don't expect him to buy AMRZ, he looks for very high quality and great pricing power, and cement and building envelope businesses generally do not have it. However, it points out two things:

a) Potential for AMRZ to create incredible value via M&A. PB Materials acquisition at 2.43x 2025 revenues was a great one, since VMC is trading at 5.58x revenue and TCI thinks that VMC is cheap. At the same multiple of revenue as VMC, AMRZ created $600MM of value with the acquisition.

b) How undervalued AMRZ, particularly the non-aggregates stub is. VMC is trading at 26x 2027 EPS, if we assign 26x multiple to $0.61 in EPS from aggregates, then the cement & building envelope business are trading for $30 or 12.5x 2027 EPS. [The non-aggregates business is trading on [AMRZ aggregates revenues should be around USD 1.925bn in 2026 and probably $2.05bn in 2027, with 2027 EBITDA = $620MM and cap ex roughly $180MM, so $420MM of pre-tax profit or $325MM of fully-taxed net income or roughly $0.61 per share from aggregates. With EPS estimates for 2027 at $3.01, non-aggregates stubs should generate $2.40 in 2027 EPS.]